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Accounting and Financial Literacy
Level: Intermediate • Rev. 2026

# Cash Flow vs Profit: Working Capital and Liquidity Survival

**Summary:** Why profitable businesses fail from cash insolvency. Master the cash conversion cycle, accounts receivable aging, and working capital buffers.

### Learning Objectives

- Distinguish between accounting profitability and liquid cash flow.
- Understand the three sections of the Cash Flow Statement.
- Calculate Net Working Capital and the Cash Conversion Cycle (CCC).
- Implement defensive strategies against debtor defaults and inflation erosion.

### Core Principles & Key Takeaways

- Cash pays salaries and debts, not booked paper profits.
- Track Operating Cash Flow separately from net accounting profit.
- Shorten Days Sales Outstanding (DSO) through upfront payment incentives.
- Always maintain at least 3 to 6 months of operational runway in liquid funds.

## 1. Why 'Profitable' Companies Go Bankrupt

Under accrual accounting, revenue is recognized when an invoice is issued upon delivery of goods, not when cash hits the bank. A business can report ₦20,000,000 in monthly net profit on paper while having zero cash in its commercial account because corporate clients pay on 90-day credit terms.

If supplier invoices, generator fuel, and staff salaries must be paid on day 30, the business collapses from **cash insolvency** despite a healthy income statement.

## 2. Net Working Capital Formula

$$\text{Net Working Capital (NWC)} = \text{Current Assets} - \text{Current Liabilities}$$

* **Current Assets:** Cash, inventory, and accounts receivable (money owed by customers within 12 months).
* **Current Liabilities:** Accounts payable (money owed to vendors), short-term bank overdrafts, and accrued payroll.

If $\text{NWC} < 0$, the business is illiquid and risks defaulting on immediate obligations.

## 3. The Cash Conversion Cycle (CCC)

$$\text{CCC} = \text{DIO} + \text{DSO} - \text{DPO}$$

Where:

* **DIO (Days Inventory Outstanding):** Average days stock sits before sale.
* **DSO (Days Sales Outstanding):** Average days taken to collect cash from customers.
* **DPO (Days Payables Outstanding):** Average days taken to pay vendors.

The shorter the CCC, the less external working capital financing the business requires. If CCC is negative (as achieved by Amazon or retail supermarkets who receive cash upfront from shoppers but pay suppliers in 60 days), customer cash finances company expansion.

## Self-Assessment & Review Questions

**Q1: If a distributor takes 40 days to sell inventory (DIO), 45 days to collect customer payment (DSO), and pays suppliers in 30 days (DPO), what is the Cash Conversion Cycle?**

A. 115 days
B. 55 days
C. 25 days
D. 85 days

**Correct Answer: B** • CCC = 40 (DIO) + 45 (DSO) - 30 (DPO) = 55 days. The business must finance 55 days of operations out of working capital.

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